
MH@MERICS · WEEK 25 · 2026

Weekly Update

15 – 21 Jun 2026

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I. Highlights

Spotlight 1: Tightening US-CN tech restrictions

On **22 June** MOFCOM put ten US firms on its export-control list: the US-government-backed rare-earth producers MP Materials and USA Rare Earth, plus Ball Aerospace, Oshkosh Defense, L3Harris Maritime, Red Cat Holdings, Teal Drones, Aveox, IMSAR and Jaia Robotics ([Reuters Jun 22](#)). Chinese exporters cannot supply them with dual-use items; transfers of China-origin dual-use goods are blocked worldwide; existing transactions need MOFCOM approval.

The trigger was **Washington's 8 June expansion of the Pentagon's 1260H list of "Chinese military companies"** by 65 firms, including Alibaba, Baidu, BYD, NIO, Unitree, BOE and CXMT. The list now names **188 firms**. From end-June the Defense Department cannot contract with them; from June 2027 the ban extends to indirect procurement. Alibaba, Baidu and NIO announced legal challenges ([CNBC](#), [SCMP](#)).

Washington is also holding back on some files. On 17 June Reuters reported the US **held off blacklisting DeepSeek and 100+ Chinese firms** US agencies had flagged as security risks, after lobbying from US chip companies ([Reuters Jun 17](#)).

Other moves in the same window:

- **US:** BIS fined Bosch US\$36m for unlicensed shipments to Huawei ([BIS Jun 17](#)); the 12 June Anthropic Mythos restriction is being applied beyond government too – JPMorgan blocked Anthropic access for its Hong Kong staff on the same logic ([Reuters Jun 18](#)); the US pressed ASML in public over a suspected EUV-tool leak ([Reuters Jun 19](#)).
- **China:** MFA defended the critical-minerals regime after the G7's ≤60% supplier-concentration target ([Reuters Jun 18](#)); customs tightened indium-export checks with first-ever end-user disclosures from European buyers ([Reuters Jun 19](#)); the Supreme People's Court banned Infineon GaN sales in China ([SCMP](#)) – Infineon then won a counter-ruling at the Munich Regional Court, which barred Innoscience from selling certain GaN products in Germany and ordered damages ([Semiconductor Today Jun 19](#)).

Spotlight 2: What's next after the European Council

At the European Council on 18–19 June, leaders asked Ursula von der Leyen to “continue engaging in constructive dialogue” with China and to “develop and eventually complement the toolbox” on trade defence and industrial policy ([FT](#), Euobserver). Her SOTEU speech in mid-September and the October European Council are the next milestones on the file.

In the **MERICS Insights: Dinner time – Why Merz must pivot Germany away from a piecemeal China policy** (18 June, member-only), I argue that case-by-case

dossiers are not enough. Three things matter now for Berlin: supporting a cross-sectoral trade instrument; real supply-chain diversification; and investment in Germany's and the EU's own chokepoints.

Numbers continue to speak one language: the Q1 EU deficit with China was around €98bn, with Séjourné saying it could reach €500bn annually by 2027. Germany accounted for €2bn of the €2.9bn year-on-year widening in the EU's April China balance – two-thirds of the bloc's deterioration. German EV and PHEV imports from China rose 9× to €324m in April; in May, Chinese hybrid exports to the EU were up 184% YoY at US\$1.54bn.

Meanwhile in Beijing: The NBS May data showed industrial value-added +4.5% YoY and retail sales down 0.6% YoY – the first decline since December 2022 ([Caixin Jun 16](#), [NBS](#)). PKU-NSD dean **Huang Yiping** writes that supply-side fixes can no longer carry the weak-demand problem ([CF40](#)). Europe is absorbing China's domestic-demand shortfall through the trade account.

And in Germany? At least there is a debate. Merz's call for Plaza-Accord-style talks on the yuan ([SCMP Jun 20](#)) is unlikely to land in Beijing: alongside the Soviet collapse, the 1985 settlement that forced Japan to restructure is the historical lesson China's leaders work hardest to avoid repeating. The Kiel Institute argues "broad-based tariffs on products from China should not be the tool of choice" ([Hinz/Erhardt/Chowdhry](#)). And Spahn told a CCG-KAS dialogue in Beijing that Germany loses "10,000 industrial jobs every month" to overcapacity and subsidies ([CCG transcript](#)).

What to watch: Wang Wentao in Brussels at month's end; a possible von der Leyen toolbox proposal in October; and whether Merz puts detail behind the Plaza-Accord rhetoric.

German China policy in context

GERMANY

- **Spahn-led CDU/CSU delegation tells Beijing the Ukraine war is the binding constraint on the relationship:** At the CCG-KAS dialogue ahead of the 14th CPC-CDU/CSU Party Dialogue, Jens Spahn called China's backing of Russia "the greatest challenge in its relationship with Europe and Germany" and pressed Beijing to use its leverage on Putin; he also flagged that Germany has been losing "10,000 industrial jobs every month for the last two or three years" to overcapacity and subsidies, signalling the incoming government will not soften its line ([CCG transcript](#)).
- **Merz calls for a Plaza-Accord-style settlement on the yuan:** After the June 20 European Council, the Chancellor said the renminbi is "undervalued by 30 per cent" and "a currency that isn't convertible freely ... is not acceptable", invoking the 1985 G5 currency pact as a template; the framing aligns Berlin with the Commission's overcapacity instrument and marks the sharpest Merz intervention on China to date ([SCMP](#)).

- **Kiel Institute argues against broad China tariffs:** Hinz, Erhardt and Chowdhry write that “broad-based tariffs on products from China should not be the tool of choice” and “do not automatically contribute to higher productivity”; they note Germany and France have lost third-market share to non-Chinese competitors too, and recommend innovation investment plus narrow safeguards with sunset clauses ([Kiel Institute](#)).
- **Wadephul threatens UN funding cuts after Germany loses Security Council seat:** After Berlin came third behind Portugal (134) and Austria (131) with only 104 votes for two Western European seats, the Foreign Minister told the Bundestag it “cannot be that we are one of the largest contributors and are not taken into account”; the threat to ~€961m in UN payments lands at the moment China is expanding its UN footprint and contradicts Berlin’s stated multilateralism agenda ([ZEIT](#)).
- **BMW cut its 2026 auto-segment margin guidance from 4–6% to 1–3%:** citing China weakness and Iran-war fuel costs ([Reuters Jun 17](#)).
- **Berlin’s new E-Auto purchase incentive is increasing demand for BYD, MG and Chery:** dealers report Chinese-brand orders more than doubled once buyers worked out the eligibility rules ([Handelsblatt Jun 16](#)).
- **hessenschau exposes covert PRC-state involvement in Frankfurt Dragon Boat festival:** Hesse’s public broadcaster reports Beijing using ostensibly cultural events in the state to project soft power while keeping the state hand out of view – the kind of low-visibility influence work that sits below the federal interference debate but accumulates locally ([hessenschau](#)).
- **CISPA China cooperation puts research-security back on the federal agenda:** CDU MP Norbert Röttgen called for funding consequences against the Saarbrücken Helmholtz Center for Information Security (CISPA) after revelations of collaboration with Chinese scientists tied to the military, telling Handelsblatt that “naivety in dealing with China is out of place” ([Handelsblatt Jun 19](#)). Days later, the Verfassungsschutz publicly warned about Chinese intelligence activity targeting federally-funded research at CISPA and other Helmholtz facilities ([Handelsblatt Jun 22](#)). Antonia Hmaidid (MERICS) was quoted on the same dossier in Handelsblatt and Business Insider arguing against further cybersecurity collaboration with Chinese researchers.
- **China’s Supreme People’s Court hands Innoscience a GaN win over Infineon – and the market reads it as policy:** The SPC upheld an injunction forcing the German chipmaker to halt Chinese sales of infringing GaN products and pay RMB10m in damages; Innoscience jumped 16.6% in Hong Kong, Silan and Sanan hit their 10% limits and CR Micro rose 13% – signalling investors expect Beijing to keep tilting compound-semiconductor IP rulings toward domestic champions ([SCMP](#)).

EU

- **Beijing frames the EU delay as vindication of “engagement over protectionism”:** CASS Europe-watcher Feng Zhongping read the postponement as the EU sticking to a “dual-track approach of ‘de-risking’ while maintaining China as an indispensable trading partner”; Fudan’s Jian Junbo credited Beijing’s “rational and firm response” through bilateral channels for slowing the instrument ([Global Times](#)).
- **Kallas: Chinese military is training Russian troops for Ukraine:** The EU’s top diplomat said the bloc has “verified reports” of PLA training of roughly 200 Russian personnel on drone operations under a July 2025 bilateral agreement; foreign ministers agreed in principle to sanction several Chinese entities – the first listing-level escalation tied directly to PLA conduct ([SCMP](#)).
- **Commission lines up countervailing duties on Chinese PHEVs, closing the BEV loophole:** Files are ready to trigger once a member-state majority signs off, with BYD, Chery and SAIC the named targets; PHEVs were exempt from the late-2024 BEV tariffs and Chinese OEMs – BYD above all – had pivoted aggressively into the segment to keep European volumes growing ([Reuters](#)).
- **MOFCOM and DG Trade fast-track a new bilateral consultation mechanism:** Vice Minister Ling Ji and DG Trade chief Ditte Juul Jorgensen agreed to deliver “tangible outcomes” at the inaugural meeting of a China-EU trade and investment consultation mechanism, with Commerce Minister Wang Wentao visiting Brussels at month’s end – Beijing’s preferred channel for routing the EV price-commitment talks around the tariff track ([Global Times](#)).

EU MEMBER STATES

- **US presses ASML over suspected EUV leakage to China, testing the Dutch export-control firewall:** Washington has told ASML it is concerned a top-end chipmaking tool may have reached China;

ASML denies any EUV sale, but the very fact the question is being asked in public via [Reuters](#) signals US distrust of the Dutch licensing regime and raises the prospect of tighter extraterritorial reach over Veldhoven's most strategic export.

- **France dismantles clandestine Chinese “police stations” on its soil, joining the European pushback on transnational repression:** Paris has shut down informal PRC-run outposts used to pressure overseas Chinese, per [Le Monde](#) – aligning France with the Netherlands, Ireland and the UK in treating United Front-linked surveillance of diaspora communities as a sovereignty and policing issue, not a consular nuisance.

MERICS

MERICS RESEARCH AND (MEDIA) INSIGHTS

MERICS Data Insight: EU-China trade (Jun 16) – *EU's widening trade deficit with China. Esther Goreichy zooms in on the €98 billion Q1 2026 deficit and shows it keeps growing despite an increase in trade-defence cases involving China — “if the EU does not adapt its policies to the more challenging international environment and China’s offensive trade policies, then its model based on fair and transparent competition will be at risk.”*

MERICS China Security and Risk Tracker (Jun 18) – *Update on 2026 top China risks. Helena Legarda, Rebecca Arcesati, Alexander Davey, Jacob Gunter and Aurelio Insisa:* growing global fragmentation and Trump-administration volatility translate into a more complicated European risk environment as Beijing displays growing strategic confidence:

- **Taiwan:** Trump’s remarks after the China summit compromise Taiwan’s security.
 - **US-China stability:** potentially positive for Europe but could decrease pressure to act on key policy issues.
 - **Wind turbines:** European producers face stiffening Chinese competition.
 - **Compliance:** Beijing’s extra-territorial legal toolbox catches companies between conflicting compliance regimes.
 - **Indo-Pacific:** tensions stay high as Beijing tests its coercion playbook against Japan.
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MERICS Insights: Dinner time — Why Merz must pivot Germany away from a piecemeal China policy (Jun 18) – *Member newsletter. MH on the EU Council week: a cross-sectoral instrument, diversified supply chains and a bet on Europe’s own chokepoints are required to trade with an economy built on very different rules without being hollowed out by it. (See full piece as Spotlight 2.)*

Soapbox 252 – China brings a brutal trade scorecard to Brussels (Jun 15) – *In collaboration with MERICS. Five-finding scorecard for the EU Council week:*

- **Export cushion:** the EU is becoming China’s export cushion.
 - **Pharma dependency** hidden in one customs code.
 - **Tungsten choke point** behind advanced chips.
 - **South-South rhetoric** vs. the not-always-fraternal trade balance.
 - **Supply-chain shift:** China’s trade rebound is increasingly supply-chain driven.
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SELECTED INSIGHTS FOR MEDIA BY COLLEAGUES

Eva Seiwert in **Tagesspiegel** op-ed: influence at the UN stems not only from economic strength or diplomatic tradition but also from political networks, coalitions and a sustained presence — Germany and Europe must build long-term political partnerships and understand why countries join initiatives like China’s Global Governance Initiative.

Antonia Hmaldi quoted by **Süddeutsche Zeitung** on China’s 5G network rollout and the exclusion of foreign companies.

Esther Goreichy quoted by **WirtschaftsWoche**: “Ironically, Beijing’s threats can be seen as a positive sign that the EU’s resilience measures are finally being taken seriously.”

Jeroen Groenewegen-Lau quoted by **Business Mirror** on foreigners seeking medical treatment in China: “Many new treatments, including in very advanced areas, are made in China but too advanced for the state of its healthcare system and the ability of its patients to pay for these things...”

Jacob Gunter quoted by **South China Morning Post**: “Many Europeans ... feel that Brussels’ policies are merely a watered-down version of the kind of measures China has long used to protect its own domestic market.” Meanwhile, “China views Europe as ineffective and kind of incapable in this kind of conflict.”

Katja Drinhausen quoted by **Handelsblatt** on Beijing courting visitors while stoking espionage fears: “The campaigns create a climate of threat that puts government agencies, business leaders, and the general public on high alert and calls on them to be vigilant and report anything suspicious.”

Antonia Hmaidi quoted by **Handelsblatt** on China-links of CISPA: “entire departments at the German institution consist solely of Chinese researchers.” **Business Insider** cites her on the same story, advising against cybersecurity collaborations with Chinese citizens or organizations.

Rafael Jimenez Buendía quoted by **The Guardian** predicting Chinese trade data for May and June will show the EU-China deficit growing further.

MERICS China Essentials cited by **FAZ** on China’s new regulations to counter foreign trade measures.

MERICS Data Insight cited by **Agence Europe**: Esther Goreichy stresses that Beijing continues to provide massive support to its industry but is struggling to sufficiently stimulate domestic demand.

Eva Seiwert interviewed by **Newsweek** on China’s response to the US-Iran peace deal: “Beijing emerges without a major economic shock, although the crisis has underscored China’s continued vulnerabilities in energy security” — narratives of China as a responsible major power that supports dialogue and international law are likely to find a receptive audience in parts of the Global South.

Soapbox issue 245 (MERICS collaboration) quoted by **Nikkei Asia** on China’s worldwide exports of electric cars and hybrids.

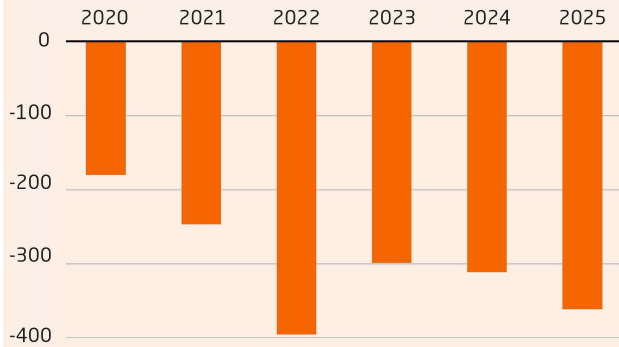
Top charts and visuals W25

Chart 1 – EU’s trade deficit with China hit €98bn in Q1 2026 even as EU trade-defence cases against China climbed (MERICS Data Insight, Esther Goreichy, merics.org Jun 16; Eurostat Comext, € billion, Q1 2026)

MERICS DATA INSIGHTS

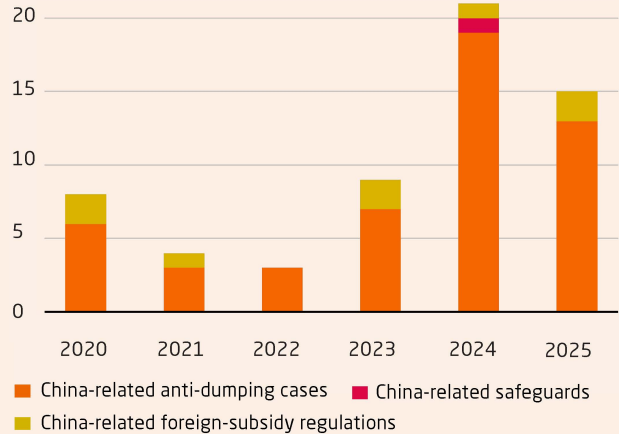
EU-CHINA TRADE

EU TRADE DEFICIT WITH CHINA KEEPS GROWING



All products, seasonally and calendar adjusted trade value in billion EUR

MORE TRADE DEFENSE CASES INVOLVE CHINA



Number of EU trade defense investigations initiated



KEY FACTS

- **China continues to supply its companies while doing little to boost domestic demand.** Support for Chinese firms is estimated at around 4.5 percent of GDP by the IMF; OECD data show they received six times more support than European firms in 2024. The result is overcapacity that cannot be consumed at home, and so is exported overseas.
- **This dynamic is reflected in the EU's widening trade deficit with China.** It has reached new heights in early 2026, with the deficit running at EUR 98 billion in the first quarter.
- **Since the 2010s, the number of trade-defense investigations launched against China in the EU has tripled.** However, the measures have not led China to change its trade practices vis-à-vis the EU.



EXPERT TAKE

“ ”

“The narrow and sector-specific instruments in the EU trade-defense toolbox are not sufficient to address the disruption. The still increasing exports of Chinese overcapacities, often advanced products offered at low prices, are threatening Europe's industrial base. If the EU does not adapt its policies to the more challenging international environment and China's offensive trade policies, then its model based on fair and transparent competition will be at risk.”



ESTHER GOREICHY
Visiting Fellow, MERICS



Read more: Explore the MERICS China Overcapacity Monitor at: merics.org/china-overcapacities-monitor

Sources: Eurostat, European Commission, IMF, OECD

Chart 2 – Germany alone caused €2bn of the €2.9bn YoY widening in the EU’s April 2026 China trade balance – two-thirds of the EU-wide deterioration (Soapbox 253 × MERICS, [Jun 22](#); Eurostat Comext, € billion change in balance, Apr 2025 → Apr 2026)



Chart 3 – German imports of Chinese EVs + plug-in hybrids surged 9× year-on-year to €324m in April 2026 (Soapbox 253 × MERICS, [Jun 22](#); Eurostat Comext, € million, Apr 2025 vs Apr 2026)

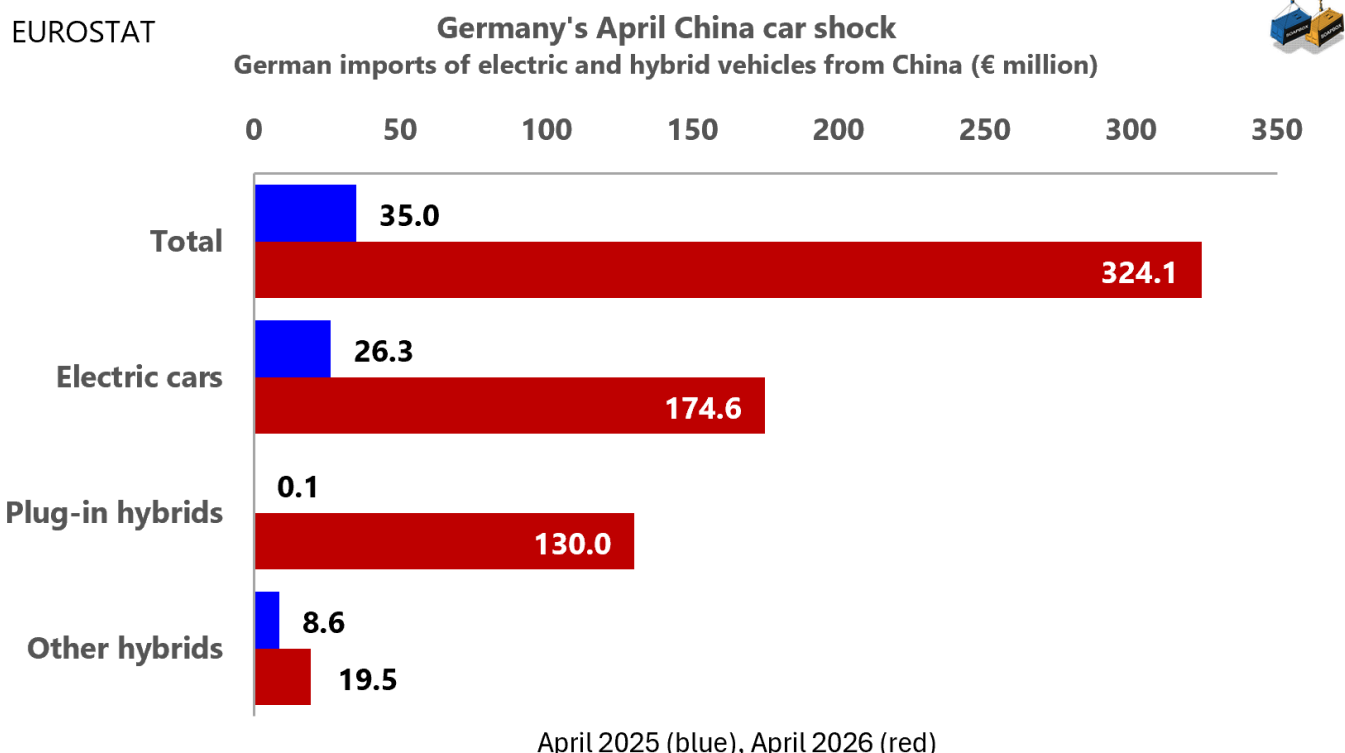


Chart 4 – EU imports of Chinese EVs and plug-in hybrids hit a Jan–Apr record in 2026, with hybrids now driving the surge (Soapbox 253 × MERICS, [Jun 22](#); Eurostat Comext, € billion, Jan–Apr 2021–2026)



EUROSTAT

**EU imports of electric and hybrid vehicles from China
Jan-Apr (€ million)**

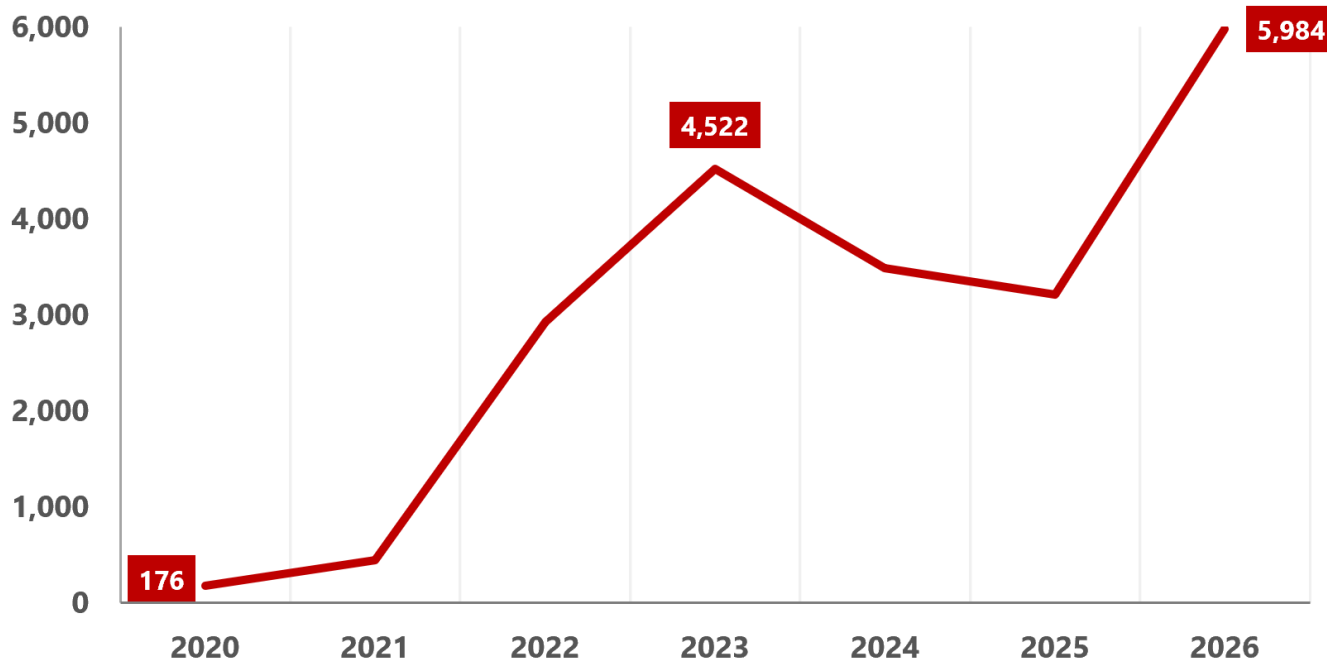


Chart 5 – China’s hybrid-car exports to the EU jumped 184% YoY to US\$1.54bn in May 2026 – the flood is not over (Soapbox 253 × MERICS, [Jun 22](#); China Customs (GACC), US\$ million, May 2025 vs May 2026)

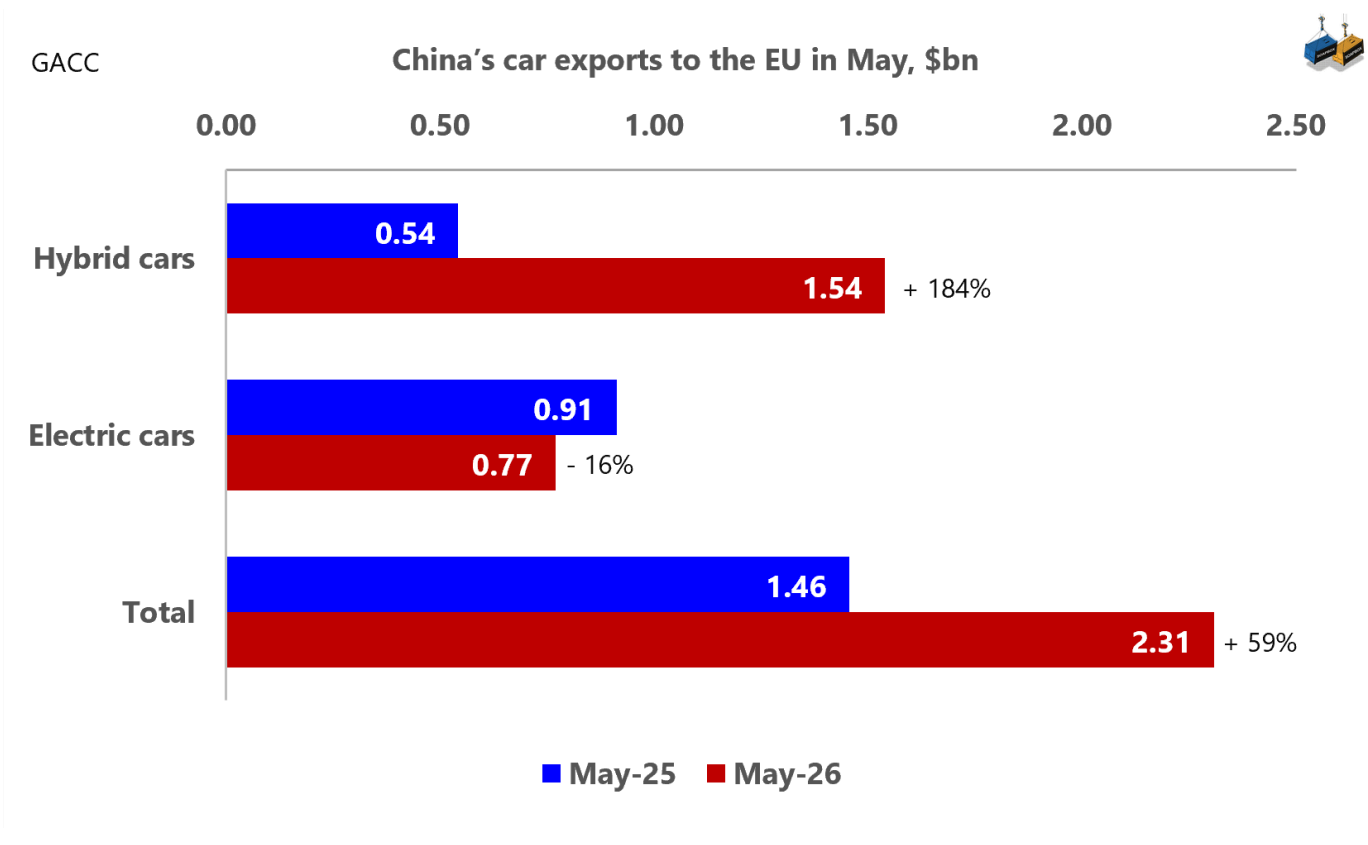
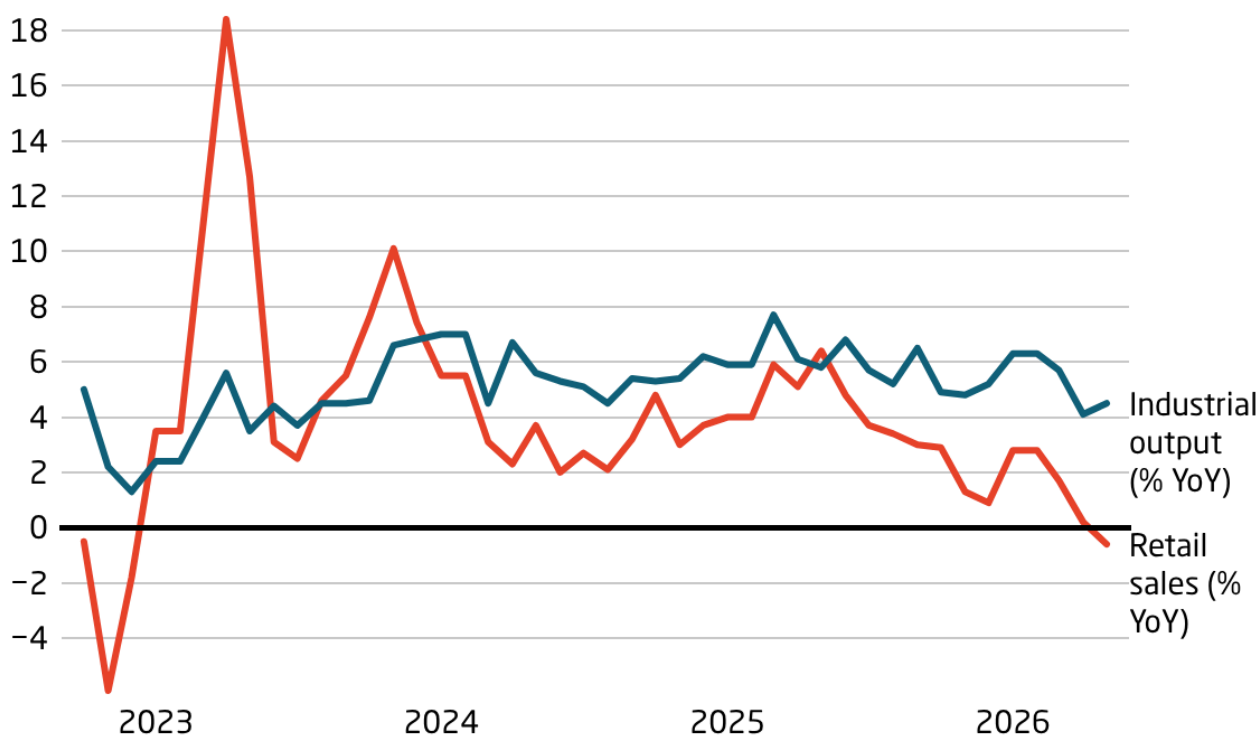


Chart 6 – Strong supply, weak demand: China’s industrial value-added grew 4.5% YoY in May 2026 while retail sales contracted 0.6% – the first decline since December 2022
(MERICS Datawrapper [Ot5VP](#); National Bureau of Statistics, % YoY, monthly Jan 2024 – May 2026)

Strong supply, weak demand: China’s diverging growth engines in May 2026



Source: National Bureau of Statistics (via East Asia Economics & NBS press releases)

III. International

1. Domestic economic situation and policy

SCMP · 16 JUN 2026

China credit data shows sluggish demand, more household deleveraging amid weak investment

- **China's May new bank loans fell 16% year-on-year to 520 billion yuan:** CICC analysts said household deleveraging is spilling into corporate borrowing appetite, with manufacturing investment declining notably since March.
 - **Outstanding household lending dropped 631 billion yuan in the first five months of 2026:** Officials implemented rate cuts and consumption loan subsidies, but a brokerage economist said both measures have yielded limited results in housing and spending.
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CAIXIN · 16 JUN 2026

China industrial output beats estimates as AI boom offsets property drag

- **China's industrial output grew 4.5% year-on-year in May, beating forecasts:** Equipment manufacturing expanded 9.5%, accounting for nearly 80% of total industrial output growth, according to Caixin.
 - **Electronics sector surged 17%, driven by AI supply chains:** High-tech manufacturing gains offset continued weakness in traditional building materials linked to the property crisis.
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ECONOMIST · 14 JUN 2026

China is innovative. Its economy is a mess. Which will win out?

- **Goldman Sachs projects tech manufacturing adds one GDP point annually:** The property sector subtracted two percentage points of growth in both 2024 and 2025, the article reports.
 - **IMF economists found industrial policy cut total factor productivity by 1.2%:** China's GDP was 2% below the counterfactual - equivalent to roughly \$400bn in foregone value added per year.
 - **Loss-making industrial firms hit a record 32% share in April:** Inland provinces' contribution to industrial GDP fell from 48% in 2013 to 36% last year, leaving an estimated 300-400 million low-skilled workers increasingly sidelined.
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CAIXIN · 18 JUN 2026

China Readies Fresh \$9 Billion Consumer Stimulus as Retail Sales Shrink

- **China releases \$9.2 billion in trade-in subsidies as retail sales contract:** Beijing will disburse 62.5 billion yuan by end of June, responding to the first retail contraction since 2023.
 - **2026 consumer stimulus program cut and narrowed to three product categories:** The annual allocation fell to 250 billion yuan from 300 billion in 2025, now limited to cars, appliances, and smart glasses.
-

China retail sales sink for first time since Covid

- **China's retail sales fell 0.6% in May, the first decline since December 2022:** Fixed asset investment deepened to a 4.1% year-to-date contraction, steepening from 1.6% in the January-April period.
 - **Property investment down 16.2% year to date, extending a five-year sector slump:** Beijing has relied on exports - up 19.4% in May - to offset weak domestic consumer confidence, the FT reports.
 - **China's economy shifting away from deflation as Iran war-linked energy costs rise:** Factory-gate prices have increased and consumer price inflation has been in positive territory since September, the article notes.
-

China's Investment Contraction Deepens on Property Slump, Manufacturing Weakness

- **Fixed-asset investment contracted 4.1% in January - May, missing forecasts:** The decline widened from the first four months and far exceeded the 1.7% drop projected in a Caixin economist survey.
 - **Manufacturing spending fell alongside a 16.2% property development decline:** Excluding real estate, investment dropped 1.2%, the lowest reading since the data series began in 2024, according to the National Bureau of Statistics.
-

Slower Credit Growth May Be China's 'New Normal,' PBOC Chief Says

- **Pan Gongsheng reframes slower credit growth as structural:** The PBOC governor said at the Lujiazui Forum that maintaining past credit growth rates is "neither easy nor necessary," as the economy shifts from property to light-asset technology.
 - **Property and LGFV loan contraction underpins the credit slowdown:** Outstanding loans to both sectors are shrinking, the governor said, reducing aggregate credit demand even as allocation efficiency improves.
-

Xi Jinping wants China to boost demand. Why isn't it working?

- **Annual investment data show China's first on-record contraction:** Gross fixed capital formation declined in 2025 for the first time since China began reporting GDP in the 1990s.
 - **May imports rose 27%, outpacing export growth of 19%:** Semiconductor prices and AI-related tech demand drove part of the surge, according to Absolute Strategy Research.
-

China Home Prices Fall at Faster Pace in Setback to Revival - Bloomberg

- **China new-home prices fell faster in May:** The 0.2% monthly drop across 70 cities outpaced April's 0.19% decline, with resale values sliding 0.26% - their steepest fall in three months - per National Bureau of Statistics data.
 - **Property recovery remains confined to China's largest cities, lifted by AI investment:** Hangzhou led new-home price gains while Tier 2 city resale values fell 0.25%, their biggest monthly drop in three months.
 - **Consumer spending contracted in May for the first time since the pandemic:** NBS figures released the same day also showed investment deteriorating, compounding pressure on policymakers seeking to boost domestic demand.
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China's \$300 billion pile of bad consumer debt threatens economy

- **Household nonperforming loans reached a record 2.22 trillion yuan in 2024:** Gavekal Dragonomics estimates a 21% annual surge, with up to 10.6% of Chinese adults behind on debt payments at end-2025.
- **Debt repayment stress is blunting Beijing's consumer loan subsidies:** Banks are extending fewer new loans and stimulus programmes targeting automobiles and electronics are losing traction as household finances deteriorate.
- **Tech platforms continue pushing frictionless loans despite rising household defaults:** Ant Group, ByteDance and Meituan use in-app marketing to offer instant-disbursement credit, with some platforms pre-approving lines up to 300,000 yuan.

2. Politics and society

Behind Bars: new report on China's detention centres shows widespread abuse

- **Survey of 84 former detainees documents systematic abuse:** Safeguard Defenders found 76% reported violence and 73% were blocked from legal counsel across 58 facilities in 19 provinces.
 - **Detention centres managed by the arresting police authority:** The Ministry of Public Security runs both arrests and detention, leaving no independent body to investigate facility misconduct, the report finds.
 - **Report identifies four Chinese legal gaps on detainee rights:** These include a 37-day pre-arrest detention ceiling - against an international 48-hour norm - and no dedicated Detention Centre Law.
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China detains two leaders of influential underground church

- **Chinese police detained two Early Rain Covenant Church leaders during Sunday service:** Armed officers raided a congregation of over 30 members in Jiangyou, Sichuan, with at least 50 SWAT officers present, according to the church's statement.
 - **Raid follows a pattern of intensifying CCP pressure on unregistered Protestant churches:** The church's founding pastor has been imprisoned since 2018, and a separate crackdown on Zion Church in October 2025 detained 30 leaders across seven cities.
-

Analysis: 73-year-old Xi Jinping resists generational shift

- **Cai Qi named Central Party School president, concentrating power further:** Xi's closest aide, 70, took charge of the cadre-training institution ahead of the 2027 party congress, according to Xinhua.
 - **Appointment signals Xi's resistance to generational change, author argues:** Several Xi loyalists past 70 retain key posts on Taiwan and Hong Kong policy, suggesting the current leadership cohort will continue beyond 2027.
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China's Edifice Complex

- **Officials build showy projects to impress superiors:** The author argues cadre evaluations tie promotion to visible outputs, crowding out slower but more effective development investments.
 - **Xi's anti-waste warnings cannot stop the visibility trap:** The author argues waste migrates to each new policy frontier - EVs, AI - before Beijing can regulate it.
 - **Short official tenures undermine maintenance of predecessor projects:** Rotated every three to four years, officials prioritise launch speed and personal credit over long-term project viability.
-

News extortion is rife in China

- **Three Zhejiang men convicted for IPO-related news extortion:** They fabricated negative content about 180+ firms preparing to list and demanded hush money, with some companies paying to avoid disruption rather than alerting police.
 - **State media controls incentivise extortion practices, researcher argues:** China Media Project's David Bandurski writes that requirements to produce "positive energy" stories and routine censorship make corrupt practices both tempting and easy to conceal.
 - **Chinese outlets unable to survive on news subscriptions alone:** A former journalist quoted in the article says media "aren't allowed to write about real things," driving revenue through advertising pressure or, in the most direct cases, outright extortion.
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Wang Tie investigated again nearly eight years after demotion from vice-ministerial to deputy division level

- **Henan anti-corruption authorities reinvestigate Wang Tie, 68, eight years after his surrender:** The provincial supervision commission announced on 15 June that Wang is under investigation for suspected serious violations of law.
 - **Wang had been demoted from vice-provincial to sub-division level in 2018 after turning himself in:** He received a lenient sentence, was expelled from the CCP, and retired at the reduced rank - a “cliff-edge demotion” case now reopened.
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Xi's thought on governing the party announced as new official doctrine

- **CCP formally codified "Xi Jinping Thought on Party Building":** State broadcaster CCTV hailed the doctrine as a milestone in Marxist party-building theory at a national conference on Monday.
 - **Doctrine's 14 principles mandate centralised leadership and anti-corruption:** The “insists” require unified Central Committee authority, rigorous party self-governance, and eliminating officials’ “audacity, opportunity or desire” to corrupt.
 - **Codification arrives roughly a year before the 2027 party congress:** More than two-thirds of the Central Committee are expected to be replaced at that congress due to customary age limits.
-

China's Cai Qi cements spot as Xi confidant as head of Communist Party school

- **Cai Qi appointed head of Central Party School, consolidating power:** The appointment unites party organisational, doctrinal, and administrative functions under a single Standing Committee member, which Reuters calls a rare concentration.
 - **Xi and Hu Jintao both headed the school before ascending:** Cai, already Xi’s de facto chief of staff via the General Office, now also oversees senior official training and party ideology.
-

Xi's Enforcers Are Hunting Down Officials Who Consult Mystics and Borrow Too Much

- **CCDI punishments reached a record one million people in 2025:** The total is more than five times the figure from when Xi took power, the Journal reported.
- **Xi's purges have shifted from graft to political loyalty offenses:** The WSJ’s review of 940+ CCDI statements found growing allegations of defying Xi’s directives, feigning compliance, and forming rival factions.
- **More than one in six officials faced superstition-related charges:** Over 160 of 940+ reviewed cases involved fortunetelling, feng shui, or consulting spiritual gurus - activities the atheist party forbids members.

3a. Geoeconomics – tech & innovation

CAIXIN · 18 JUN 2026

Analysis: Toyota Shifts Gears to Fend Off China's EV Upstarts

- **Toyota retained global sales leadership for a sixth consecutive year:** The company sold 11.3 million vehicles in 2025, sustained by demand for conventional and hybrid models, according to Caixin.
 - **Toyota restructuring its China approach as NEV penetration rises:** The Japanese automaker is shifting strategy to align with the country's accelerating transition toward electric vehicles, the article reports.
 - **Chinese EV makers encroaching on Toyota's Southeast Asia and Australia strongholds:** Chinese automakers are aggressively rolling out smart EVs in emerging markets where Toyota has long been dominant, the article reports.
-

BROOKINGS · 17 JUN 2026

Ball game's over – the US is out of the AI chip market in China

- **Beijing barred domestic AI firms from buying US-approved H200 chips:** Despite Trump-era export licence approvals, not a single H200 chip was sold to Chinese companies as of mid-May 2026, according to the author.
 - **The author argues US chip controls have permanently forfeited China's AI chip market:** US companies now hold zero share of China's AI chip market and, according to the commentary, have no prospect of recovering their once-dominant position.
 - **China's exclusion strategy mirrors its UnionPay playbook:** Officials are accepting near-term model capability gaps to build indigenous chip alternatives - as they did with payment networks in the 2000s - the article argues.
-

NIKKEI · 18 JUN 2026

China automakers leap forward in internal combustion engine tech

- **Chinese automakers claim world-record thermal efficiency in hybrid engines:** Chery's KunPeng Sky Optimus engine reached 48.57% thermal efficiency, surpassing the commercially available range of 38-45%, the company announced in April.
 - **Geely and Changan deploy AI and high-pressure injection to erode Japan's ICE lead:** Geely used AI to improve its i-HEV hybrid system to 48.41% efficiency, while Changan claims world-first mass production of a 500-bar fuel injection engine.
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CAIXIN · 19 JUN 2026

Chipmaker YMTC Cedes Control of Foundry Unit Ahead of Mega IPO

- **YMTC selling foundry unit stake to state-owned fund:** The deal reduces YMTC's holding in Wuhan Xinxin Semiconductor from 68.2% and transfers majority control to a local state investment platform, per a regulatory filing.
 - **Divestment precedes YMTC's planned domestic stock listing:** Caixin describes the offering as "blockbuster"; the stake sale is designed to streamline the chipmaker's corporate structure ahead of the IPO.
-

Huawei's big comeback tests limits of US chip controls

- **Huawei's HiSilicon beats 7nm limit via chip-stacking:** He Tingbo announced at a Shanghai conference that layering circuits vertically boosts performance past the barrier US export controls were designed to enforce.
 - **Huawei selling chip-DeepSeek AI bundles to Middle East customers:** CloudMatrix 384 links hundreds of processors into clusters the company says surpass Nvidia's NVL72, compensating for weaker individual chips through scale.
-

In Depth: China's Humanoid Robot Boom Sparks Fears of Bruising Price Wars

- **New entrants flooding humanoid robotics spark "involution" fears:** Industry insiders warn the sector risks self-destructive price wars mirroring China's EV market, according to Caixin.
 - **China's 10,000-robot state mandate fuels overcrowding concerns:** AgiBot partner Yao Maoqing says semi-humanoid and entertainment robots are already seeing rapid price declines as entry barriers are lower.
-

InnoScience wins China patent ruling, Infineon GaN sales banned

- **SPC upheld Innoscience's GaN patent infringement claim against Infineon:** China's Supreme People's Court rejected Infineon's reconsideration on June 12, confirming EU chipmaker Infineon violated two core gallium nitride invention patents held by Chinese competitor Innoscience. The Suzhou Intermediate People's Court issued the initial ruling on May 27.
 - **Effective immediately — Infineon barred from selling GaN chips in China:** Court ordered Infineon to immediately cease all infringing activities (sale, offer for sale, importation) and awarded Innoscience RMB10m (~US\$1.38m) damages. Companion: [Semiconductor Today coverage](#).
-

The quiet rise of Chinese AI inside Western companies

- **Airbnb's customer service runs partly on Alibaba's Qwen:** CEO Brian Chesky called it "very good, fast and cheap," while coding tool Cursor has reportedly incorporated Beijing startup Moonshot AI's Kimi.
 - **Cost, not frontier capability, is China's commercial AI edge:** Export controls forced firms to optimise for efficiency, the article argues, inadvertently making Chinese models more attractive to cost-sensitive Western buyers.
 - **Hong Kong reclaimed top global IPO status in early 2026:** Investor enthusiasm for Chinese AI firms - including Zhipu AI and MiniMax - propelled the exchange to among the world's busiest, the article reports.
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REUTERS · 15 JUN 2026

ByteDance in talks with China's Iluvatar CoreX to purchase AI chips, sources say

- **ByteDance in talks to buy 50,000 Iluvatar CoreX inference chips:** A signed deal would make Iluvatar CoreX ByteDance's third domestic GPU supplier after Huawei and Cambricon, sources told Reuters.
 - **Domestic chipmakers now hold 41% of China's AI accelerator server market:** Nvidia's share has effectively reached zero as U.S. export controls push Chinese tech firms toward domestic alternatives, Reuters reported.
-

BLOOMBERG · 13 JUN 2026

China maps out heavy-truck electrification push with 40% goal

- **Ministry of Transport targets 40% new-energy truck penetration by 2030:** China plans a fleet exceeding 1.6 million vehicles, up from approximately 29% market penetration recorded in 2025.
 - **Plan includes 3,000 charging/battery-swapping stations and 30,000 km zero-carbon freight corridors:** New highway service areas must build or reserve space for heavy-duty truck charging and battery-swapping facilities, the ministry said.
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NIKKEI · 19 JUN 2026

Chinese Nvidia supplier pours \$700m into Vietnam plant

- **Zhongji Innolight to invest \$700m in Bac Ninh, Vietnam:** The Shenzhen-listed transceiver supplier will build a 30-hectare plant employing up to 20,000 workers - its largest Southeast Asia facility to date.
 - **AI hardware surge drives the company's Southeast Asia manufacturing push:** Zhongji Innolight supplies optical transceivers to Meta, Nvidia, and Google; Vietnam will become its second regional production base after Thailand.
 - **Bac Ninh pledges power supply and a four-year tax break:** The province committed to renewable energy expansion, though power shortages disrupted factories across northern Vietnam three years ago.
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WSJ · 16 JUN 2026

DeepSeek Becomes China's Most Valuable AI Startup After \$7.4 Billion Fundraise

- **DeepSeek closes \$7.4 billion round at a \$50 billion valuation:** Tencent invested around \$1.5 billion and CATL \$740 million, making DeepSeek China's most valuable AI startup, according to people familiar with the matter.
- **Founder Liang Wenfeng retains control via a limited partnership structure:** Most external investors hold stakes through a fund he manages, with a mandatory five-year lock-up, the people said.
- **Capital earmarked for R&D, computing infrastructure, and agentic AI tools:** DeepSeek plans to expand domestic compute capacity and develop software automating complex tasks as a future revenue stream.

3b. Geoeconomics – trade, finance & industrial policy

SCMP · 19 JUN 2026

Amid geopolitical uncertainty, China trims US Treasury holdings to 18-year low

- **China's US Treasury holdings fell to an 18-year low in April:** At \$651.1 billion, the total dropped from \$652.3 billion in March - the lowest level since September 2008, per US Treasury data cited by SCMP.
 - **Japan and UK offset China's cuts, lifting overall foreign holdings:** Total foreign US Treasury holdings rose to \$9.353 trillion in April; SCMP attributes China's continued reductions to geopolitical tensions and concerns over Federal Reserve independence.
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SCMP · 16 JUN 2026

Argentina edges back to China on currency swap despite US pressure

- **Argentine and Chinese central bankers met in Shanghai:** Bausili and Pan Gongsheng discussed bilateral cooperation at a BIS symposium, weeks before Argentina's US\$19 billion yuan swap line expires on August 6.
 - **Buenos Aires publicly denies swap renewal talks:** Argentina's central bank denied renewal was on the agenda, while Noticias Argentinas reported negotiations are advancing with only administrative steps remaining before formalisation.
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NIKKEI · 17 JUN 2026

China makes new push to take yuan global, vows vigilance on financial risks

- **PBOC launches yuan liquidity facility for foreign central banks and sovereign funds:** Six banks were also authorized for offshore yuan transactions in Shanghai's free trade zone, Pan Gongsheng announced at the Lujiazui Forum.
 - **New NFRA head flagged growing cross-border financial risk transmission:** Ding Xiangqun vowed to prevent systemic risk from small financial institutions and resolve stress from property and local government debt.
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FT · 14 JUN 2026

China tees up digital payments system to compete with dollar

- **mBridge launch imminent, fees set at half Swift rates:** Backed by five central banks, including Saudi Arabia and UAE, the China-led platform has processed \$69bn in transactions to date.
 - **mBridge uses blockchain to remove dollar from cross-border settlement:** Central banks transact directly in digital currencies, cutting settlement time to seconds and targeting BRI partners as primary users.
 - **BIS transferred mBridge to partners in 2024 under US pressure:** Washington raised concerns the platform could enable sanctions evasion; Beijing says it complies with FATF anti-money laundering rules.
-

China Tightens Control Over Strategic Minerals With Sweeping New Rules

- **China's new strategic mineral rules took effect Monday:** Implementing the revised Mineral Resources Law, the regulations cover mining rights, extraction, stockpiling, environmental restoration, and legal liability across the full resource lifecycle.
 - **Minerals framed as critical to national security and competitiveness:** China's new rules govern resources used in EVs, clean energy, and advanced manufacturing as governments worldwide race to secure supplies.
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China Unveils Repo Facility to Manage Offshore Yuan Liquidity

- **Repo facility rates pegged to PBOC's seven-day reverse-repo rate:** Collateral includes Chinese sovereign and policy bank bonds, with maturities of up to three months, according to the PBOC.
 - **Pan Gongsheng unveiled the tool at Shanghai's Lujiazui Forum:** The rate mechanism links the offshore yuan liquidity facility directly to China's domestic policy rate.
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EU trade deficit with China reaches record €1bn a day, data shows

- **EU-China trade deficit reached a record €31.9bn in April:** Eurostat data puts the gap at roughly €1bn per day; a Mercator Institute analyst projects the deficit will persist into summer figures.
 - **Hybrid import quotas seen as EU's preferred tool over broader tariffs:** Hybrid car imports surged after 2024 EV tariffs excluded them; the Commission views blanket tariffs as requiring difficult political buy-in.
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'It's absurd': how the EU's new carbon tariff is causing havoc in China

- **CBAM implementation creates complex new compliance demands for Chinese exporters:** Manufacturers must now submit factory coordinates and upstream carbon intensity data or face cargo rejection at EU customs, according to SCMP.
 - **Smaller Chinese producers using cleaner technology face disproportionate CBAM compliance burdens:** Already in a domestic price war, China's steel firms must weigh compliance costs against losing EU market access, SCMP reports.
-

Australian Beef Exports Face 55% China Tariff as Quota Reached

- **Australia exhausts China's 205,000-tonne annual beef import quota:** Beijing's Ministry of Commerce confirmed the limit was reached June 18, activating a 55% safeguard tariff from June 20.
 - **China's beef safeguard system runs through 2029:** The measure took effect in January 2026, with per-country quotas rising gradually through 2029, applied to six major exporters (Australia, Brazil, Argentina, New Zealand, Uruguay, US) to shield domestic farmers from rising import competition.
 - **Industry groups warn of annual losses exceeding A\$1 billion:** Analysts expect modest domestic cattle price impact, citing firm demand from alternative markets in Asia and the Middle East.
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China defends critical minerals export controls after G7 statement

- **China's foreign ministry defends critical mineral export controls as internationally compliant:** Spokesperson Lin Jian said the system serves non-proliferation goals, urging G7 leaders to stop "imposing rules of small cliques."
 - **G7 set a critical minerals supplier concentration cap:** Leaders agreed to cut dependence on any single non-partner supplier for rare earths and permanent magnets to below 60% by 2030, with a longer-term 50% goal.
-

China signs up 26 financial institutions to digital yuan cross-border payment platform

- **PBOC's digital yuan centre signs 26 financial institution cross-border agreements:** CBETS, the new integrated settlement platform, supports round-the-clock digital payment links with foreign central banks and overseas financial institutions, Reuters reports.
 - **Standard Chartered Bank China among first foreign banks to join CBETS:** China separately approved a dozen additional banks to handle digital yuan in March as Beijing pushes to accelerate e-CNY adoption at home and abroad.
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China tightens indium export checks as AI demand increases

- **Chinese customs now scrutinising indium exports more closely:** European buyers received first-ever end-user disclosure requests, and North American buyers report approval times stretching from same-day to several days.
 - **US defence agency seeks to stockpile 403 tonnes of indium:** China controls roughly 70% of global supply; indium phosphide has been on Beijing's export control list since February 2025.
 - **Industry fears heightened scrutiny is a precursor to formal controls:** Two buyers told Reuters the due-diligence increase may foreshadow restrictions or outright export bans, though no shipments have been blocked.
-

Beijing's New Message to Its Citizens: Your Money Belongs at Home

- **Beijing shuts informal channels linking mainland investors to global markets:** HK and Singapore brokerages must wind down mainland accounts within two years; new rules explicitly covering individuals for the first time threaten asset confiscation.
 - **Chinese capital outflows hit a record \$809 billion in 2025:** The IIF estimate coincides with Beijing's drive to redirect savings toward local government debt relief and semiconductor and robotics programmes.
 - **Household deposits reached \$24.4 trillion but fixed-term yields have collapsed:** Rates have fallen to around 1% against U.S. high-yield rates of up to 4%, the NYT reports, driving middle-class demand for overseas accounts.
-

Chinese Offshore Wealth Shifts to Singapore, Middle East

- **Chinese outbound securities investments doubled to \$2 trillion since 2020:** A China Everbright Bank report finds mainland investors diversifying beyond Hong Kong and the U.S. into Singapore, the Middle East, and alternative assets.
 - **Singapore became the third-largest destination for mainland capital:** The report attributes the shift to Southeast Asia's growth and Singapore's tax incentives, with private equity and hedge funds gaining share over traditional equities.
-

The New Carbon Order: China's Response to Europe's CBAM

- **CBAM currently covers just 0.8% of China's EU export value:** Iron and steel dominate at 92% of affected goods, with total estimated cost of \$1.4 billion, per 2025 research.
 - **Thirty provincial carbon accounting platforms have been announced across China:** Most remain in planning or pilot stage as of April 2026, with all operational bureaus established after 2024.
 - **Beijing publicly opposes CBAM while allowing pragmatic local compliance work:** The central government has delegated CBAM compliance exploration to local authorities and firms, according to the authors' expert interviews.
-

China Is Pulling Up the Ladder Behind It

- **China's "excess" low-skill exports estimated at \$355bn (value-added) in 2022:** Across apparel, textiles, leather, footwear, electronics assembly and similar sectors, China's value-added export share remained ~64% between 2013 and 2023 while its share of the global low-skilled labor force fell three points, Chatterjee and Subramanian argue; for apparel/textiles/leather/footwear alone the excess is ~\$110bn.
- **Authors argue China is blocking the manufacturing-export path out of poverty:** Advanced economies at China's current per-capita GDP held only ~8% of low-skill global exports; China holds 27%. The new "China shock" hits Europe (especially Germany's combustion-engine ecosystem) more visibly than the tariffed-off US, but the heaviest cost falls on never-built factories from Addis Ababa to Phnom Penh.

4. Foreign policy and 'Global China'

NIKKEI · 13 JUN 2026

China patrols waters east of Taiwan in response to Japan-Philippine talks

- **China's Transport Ministry patrolled east of Taiwan for the first time:** Four ships conducted enforcement operations and seabed surveys during a five-day deployment in June, according to Xinhua.
 - **Deployment followed a Japan-Philippines decision to negotiate EEZ boundaries in the area:** Beijing protested the May 28 summit outcome, claiming the waters overlap with its own EEZ and demanding inclusion in the boundary talks.
 - **Vessels patrolled undersea cable routes and produced the Transport Ministry's first seabed map of waters east of Taiwan:** Analysts cited by Nikkei said the mapping likely serves future military planning, including submarine deployments and amphibious landing preparation.
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FT · 16 JUN 2026

China's Xi Jinping urges Myanmar's coup leader to push ahead with strategic project

- **Xi hosted Myanmar's junta-turned-president Min Aung Hlaing in Beijing:** Talks focused on the China-Myanmar Economic Corridor, cross-border criminal scam compounds, and the strategic Kyaukphyu deep-water port.
 - **Kyaukphyu port and BRI pipelines dominated the strategic agenda:** Xi called for progress on oil pipelines to Yunnan and a port giving China direct maritime access to waters near India's east coast.
 - **World Bank cut Myanmar's 2026-27 growth forecast to 2%:** Inflation reached 25% in April and the private sector is focused on survival rather than growth, the bank reported.
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SCMP · 17 JUN 2026

Philippines vows to block structures at Scarborough Shoal amid fears of Chinese expansion

- **Philippines vows to block any structure at Scarborough Shoal:** Public Affairs Office chief Xerxes Trinidad said Manila would not permit construction at the disputed reef, following satellite detection of a floating Chinese platform approximately three weeks prior.
 - **Observers warn Beijing is deploying its scientific-activities playbook:** Analysts say Chinese research vessel deployments at the shoal mirror the incremental tactics previously used to justify permanent military structures at other contested South China Sea features.
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NIKKEI · 17 JUN 2026

Taiwan's top diplomat seeks tighter Philippine ties against China coercion

- **China's enforcement operation off Taiwan targeted international commercial vessels:** CSRI's Andrew Yeh said roughly 200 ships were hailed, the first time Beijing extended jurisdiction beyond Taiwanese to international shipping.
 - **Taiwan's FM announced Philippines cooperation on semiconductors, AI, and energy:** Minister Lin Chia-lung said Taiwan and the US plan to jointly develop an industrial campus in the Philippines.
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Taiwan's refusal to accept China's rule isn't a 'provocation,' Lai says

- **Lai urged prompt US arms approval and stressed indigenous defense:** He said both channels are “equally important” and that Taiwan’s direction in strengthening defense “cannot be reversed.”
 - **Taiwan's opposition legislature cut all domestic arms and drone programs:** The legislature axed these from Lai’s special defense budget last month, adding uncertainty over Taiwan’s defense plans.
 - **Indictment of TPP-affiliated PRC national Xu Chunying backed Lai's security-law push:** Xu, a Chinese national and prominent figure with the opposition Taiwan People’s Party, was indicted in March under the Anti-Infiltration Act; Lai urged prompt action on his 17-point national security plan.
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The quiet escalation unfolding around Taiwan's remote outposts as Beijing sends ships

- **Chinese law enforcement ships entered Taiping Island restricted waters for the first time:** Two Sansha-managed vessels breached Taiwan’s 3.2-nautical-mile prohibited zone on Thursday before being expelled by Taiwan’s coastguard at 8:43am.
 - **Experts say incursions could form the basis for Beijing's effective control claims:** The move follows a separate June 5 Chinese coastguard entry near the Pratas Islands, Taiwan’s Coast Guard Administration reported.
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The white paper making China's case for new rules for the world's new frontiers

- **China released a global governance white paper calling for reform, not replacement, of existing institutions:** Wang Yi presented the document, framing the post-WWII international system as facing a “critical crossroads” requiring multilateral reinvigoration.
 - **Beijing endorses changes "more compatible and aligned" with current realities, including rules for space and AI:** The white paper argues existing frameworks have “shortcomings and deficits” but stops short of advocating an alternative system.
-

China Arrests American Scholar-Journalist, Adding to Friction With U.S.

- **China detains US citizen Min Zin on espionage charges:** Beijing placed the Myanmar-born activist under criminal investigation weeks after Trump raised other American detainee cases at the Trump-Xi summit.
 - **Min Zin co-founded a Myanmar pro-democracy policy institute:** As executive director of ISP-Myanmar, he published analysis warning the country was “sleepwalking into China’s sphere of influence.”
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China calls for greater international role in next Iran-US talks

- **Wang Yi called for broader international support for Iran-US peace talks:** China's foreign minister, speaking with Pakistani counterpart Ishaq Dar, warned the next negotiating phase will be harder than the first.
 - **Interim Iran-US deal set for formal signing in Switzerland on Friday:** The agreement is expected to produce a two-month ceasefire extension and renewed talks on Iran's nuclear programme, with Pakistan hosting the signing event in Geneva.
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China says it will take countermeasures to new Taiwan intelligence gathering site

- **Taiwan's National Security Bureau launched an intelligence tip website for Chinese nationals:** Taipei said the secure channel targets citizens "fed up with China's system," modelled on similar programmes in the US, UK, and Israel.
 - **China's Taiwan Affairs Office threatened legal action against its own citizens:** Spokesperson Chen Binhua warned nationals providing intelligence to Taiwan could face criminal prosecution, and pledged unspecified "countermeasures."
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Myanmar's Min Aung Hlaing under the gun after China applies pressure

- **Xi presses Myanmar's president on security-development balance:** Xi Jinping told Min Aung Hlaing to find the "right path" as China seeks to protect economic interests across all of Myanmar.
 - **China holds 41 Myanmar investments hit by escalating civil war violence:** Janes recorded 166 anti-regime attacks on Tatmadaw positions between January 2024 and March 2025, impacting Chinese projects directly or indirectly.
 - **Myanmar military lacks credible peace formula, analysts warn:** International Crisis Group says the Tatmadaw has no political formula or military strategy to settle the conflict, making broader peace unlikely.
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5. Strategic implications and responses

Can America sustain a war with China? New reports raise questions

- **GAO found US aerial tanker fleet missed readiness targets 2019-2025:** Ageing aircraft, spare-part shortages, maintenance challenges and delays fielding advanced tankers kept availability persistently below Air Force standards, the watchdog reported.
 - **Tanker shortfalls would effectively strand US air power in an Indo-Pacific conflict:** Without continuous mid-air refuelling, US fighters and bombers cannot cover the vast distances required to reach and operate in the theatre.
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Cutting access to Anthropic's Mythos is a gift to China

- **Anthropic export ban signals US AI access is revocable, ECFR author argues:** The chaotic Friday-evening shutdown validated Beijing's long-standing pitch that Chinese technology supplies face no political cutoffs.
 - **Chinese frontier models match US capability and cost roughly 60 times less:** DeepSeek's flagship at \$0.87 per million output tokens is self-hostable, the article reports, making government-mandated access revocation far harder to enforce.
-

DARPA just quietly asked industry how to rebuild a destroyed satellite fleet in hours – and the request reveals what the Pentagon now assumes about the first day of a war with China

- **DARPA issued an RFI seeking rapid satellite constellation reconstitution concepts:** The solicitation asks industry to restore orbital services within hours to weeks of anti-satellite attacks, cyberattacks, or debris events.
 - **China and Russia both field counterspace systems targeting allied satellites:** UK Space Command's Tedman told the BBC that Russian satellites stalk British spacecraft and ground-based jammers hit UK military satellites weekly.
 - **Rapid reconstitution aims to remove the strategic prize from attacking satellites:** If the U.S. can replace degraded capability within days, adversary incentive to attack shifts, the article argues.
-

Department of War Restores U.S. Pacific Command Designation > U.S. Pacific Command > Press Releases and Readouts

- **US Department of War restores "Pacific Command" name (renamed USINDOPACOM in 2018):** The renaming reverts the command to its original USPACOM designation, first established by President Truman on 1 January 1947.
 - **Command's area of responsibility and operational mission remain unchanged:** The announcement describes the reversion as a heritage measure, with the Indo-Pacific mandate and regional alliances unaffected.
-

EU says China trained Russian troops as bloc weighs tougher stance on Beijing

- **Kallas cited verified evidence of China training Russian military personnel:** EU foreign ministers meeting in Luxembourg on Monday agreed to sanction several Chinese entities over Beijing's alleged military support for Moscow.
 - **Reuters reported a Russian-Chinese drone training pact signed in Beijing in July 2025:** Around 200 Russian personnel received Chinese drone instruction under the agreement, with hundreds of Chinese troops also set to train in Russia.
-

Robert Bosch GmbH (Bosch) To Pay \$36 Million Penalty to BIS for Violations Pertaining to Shipments to Huawei

- **Bosch fined \$36 million for unlicensed exports to Huawei:** BIS announced a settlement covering \$72 million in MEMS sensors and automotive software shipped to the blacklisted firm between September 2020 and September 2024.
 - **Violations arose under the Foreign Direct Product Rule:** Bosch exported foreign-produced items subject to US export controls to Huawei and its Entity List affiliates without required licences, according to BIS.
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Trump, G7 split on China strategy

- **Trump rejects G7 coordination on Chinese subsidised exports:** A senior White House official said the US is acting unilaterally, while Macron convened G7 and China talks on subsidised export market disruption.
 - **US-China November trade truce extension under active negotiation:** Officials are in talks to extend the deal and launched a “US-China board of trade” mechanism to expand commerce and cut tariffs on strategic sectors.
-

Trump's Defense Demands Are Pushing Asian Allies Toward China

- **Hegseth demanded 3.5% GDP defense spending at the Shangri-La Dialogue:** Vietnam, Australia, and Japan pushed back, arguing the region's real problem is eroding trust in Washington, not insufficient arms.
 - **South Korean support for indigenous nuclear weapons reached 76% in 2025:** The author argues diminishing confidence in US security commitments is fueling nuclear ambitions in both Seoul and Tokyo.
 - **Southeast Asia rates US leadership its top geopolitical concern, above China:** The 2026 State of Southeast Asia survey found regional states now prefer China as a strategic partner over the United States.
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Why Trump's Pentagon Abandoned 'Indo-Pacific'

- **Author argues PACOM restoration reflects retreat from coalition-based China strategy:** The name change signals a shift away from India as a central balancing partner and toward transactional Xi engagement, according to the author.
 - **Trump's India ties have frayed over Modi's refusal to back a Nobel bid:** Tensions also arose from Indian oil purchases from Russia, a bilateral trade dispute, and Trump's elevation of Pakistan's role in US-Iran diplomacy.
 - **Hegseth avoided "Indo-Pacific" language at the Shangri-La Dialogue:** The administration has shifted toward “Asia-Pacific” framing, the author reports, consistent with Trump's post-Beijing summit de-emphasis of multilateral balancing.
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Will the MATCH Act Change Chip Controls?

- **MATCH Act would legislatively enshrine existing US chip-tool export controls:** The bill, which cleared the House Foreign Affairs Committee, would prevent future administrations from unilaterally reversing semiconductor manufacturing equipment restrictions.
 - **Bill demands allies halt chip-tool servicing in Chinese fabs:** Allies that miss a 150-day compliance deadline face US Foreign Direct Product Rule enforcement, the article reports.
 - **Bill would give the executive branch negotiating cover with Beijing:** A passed MATCH Act would let the administration tell Chinese counterparts that chip-tool controls are beyond presidential reversal, the author argues.
-

No call with Taiwan, no new arms sales: how Trump is preparing to welcome Xi

- **Trump-Lai call ruled out to protect September Xi summit:** Multiple sources told SCMP that US officials believe direct contact with Taiwan's leader would derail the expected Washington summit with Xi Jinping.
 - **Washington froze a \$14 billion Taiwan arms package before Trump's May China visit:** Four further packages remain outstanding; analysts expect approvals to resume only after Xi's September visit concludes.
 - **Beijing found summit diplomacy sufficient to delay US arms transfers:** One source said China learned that dangling future engagement with Washington is enough to defer arms sales to Taiwan without formal concessions.
-

Taiwan's President Says He Trusts Trump to Approve Arms Sales

- **Lai confident paused \$14 billion arms package will be approved:** At a Taipei news conference for foreign media, Lai described Trump as a strong supporter of Taiwan and said he hoped the US review would conclude in Taiwan's favour.
 - **Arms approval may cost Trump Xi's summit purchase pledges:** An INDSR researcher warned Xi could rescind Beijing summit purchase commitments and postpone a Washington visit if Trump approves the sale.
-

Tokyo Electron chief sees edge despite China's chip self-sufficiency drive

- **Tokyo Electron CEO acknowledges rising Chinese equipment rivals:** President Kawai said domestic competitors are “growing” but argued decades of manufacturing expertise and customer trust preserve the company’s technological edge.
 - **China's revenue share fell from 40% to around 30%:** Kawai attributed the decline to AI-driven demand expanding in other markets rather than weakening Chinese orders for Tokyo Electron’s chipmaking tools.
 - **3D integration segment targeted to exceed 300 billion yen by 2030:** The unit generated around 30 billion yen last year; Kawai projected sales growth of more than 60% this year driven by advanced chip packaging demand.
-

US holds off blacklisting China's DeepSeek, more than 100 firms deemed security risks, sources say

- **US Entity List not updated since October, 100+ firms pending:** DeepSeek, CXMT, and over 100 committee-approved companies remain unlisted as BIS officials withhold publication to avoid escalating US-China tensions, Reuters reports.
 - **Russian drone suppliers and 75 semiconductor entities among withheld cases:** Firms supplying drones found in Poland and at least 75 Chinese semiconductor and AI companies are approved but unpublished, sources told Reuters.
-

US Tells ASML It's Concerned China May Have Top Chip Tool

- **Lutnick raised EUV-in-China concerns directly with ASML executives:** ASML denied the claim, circulating a document tracking all 314 operational EUV systems globally and asserting none are in China.
 - **US officials allege EUV-related component exports but declined to provide evidence:** The impasse has prompted bipartisan legislation seeking to impose US-equivalent export restrictions on ASML and Tokyo Electron, threatening roughly 20% of ASML’s 2026 revenue.
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The art of the swarm: Systemic rivalry with China on European terms

- **ECFR proposes six market-access conditions for the EU single market:** The “Six Nos” framework would penalise firms unable to meet transparency, reciprocity, fair competition, and security standards - de facto targeting state-directed actors.
 - **Paper proposes a "swarm" of sub-threshold simultaneous measures:** Deploying many dispersed instruments at once prevents Beijing from concentrating lobbying or retaliation against any single focal point.
 - **Paper argues Chinese coercion could expand Europe's toolkit:** ACI activation consolidates dispersed measures under a single legal base, giving Europe options it cannot otherwise assemble - making Beijing escalation counterproductive.
-

Washington Will Come to Regret Its Stalemate with Beijing

- **Author frames US-China stalemate as Beijing's strategic advantage:** The article argues China is using the interregnum to purchase relief from US pressure while preparing for the next competition round.
- **Trump's May Beijing summit revived engagement-era trade institutions:** An agreed Board of Trade and Board of Investment echo the commercial dialogues that the first Trump administration ended, the article reports.
- **China benefits strategically from being second superpower, author argues:** Unlike Washington, Beijing can focus its national security policy on a single geographic theater - the Indo-Pacific - without costly global commitments.

IV. Chinese Sources

Regulatory & policy primary sources

STATE COUNCIL 国务院 · 17 JUN 2026

Plan for Implementing the Employment First Strategy During the 14th Five-Year Plan Period

- **Five-year job target framework:** Cabinet-issued plan sets quantified employment-creation and labor-mobility targets for 2026–2030, framed around manufacturing upgrade and youth-unemployment pressure.
 - **Policy bundle, not single instrument:** Combines fiscal subsidies for hiring, vocational-training expansion and stricter labor-market data reporting from provinces — Beijing's response to consumer demand weakness (cf. Caixin Pan Gongsheng in Part III basket 1).
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PBOC 中国人民银行 · 17 JUN 2026

Six new financial policy measures (Pan Gongsheng at the 2026 Lujiazui Forum)

- **Monetary policy framework reform:** Interest rate corridor narrowed from 70bp to 50bp — overnight ad-hoc repo / reverse repo rates set $\pm 25\text{bp}$ around the seven-day reverse repo rate; pivot toward a price-based, short-rate-anchored monetary framework.
 - **Renminbi repo facility for foreign central banks + macro-prudential liquidity tool for non-banks:** New repo facility (up to 3-month maturities, Chinese sovereign / policy bank bond collateral) for foreign monetary authorities; study of a macro-prudential liquidity backstop for NBFIs under specific conditions.
 - **Shanghai offshore finance + interbank market data repository:** Offshore RMB FX trading pilot in the Shanghai FTZ, joint PBOC + municipal action plan for offshore finance, and an official interbank market data reporting repository. Companion piece: Pudong release of the six measures.
-

STATE COUNCIL 国务院 · 17 JUN 2026

Plan to integrate and optimise national nature reserves and national scenic and historic areas in Zhejiang, Fujian and Shandong

- **Land-use / ecological-zoning policy:** State Council approval consolidating overlapping nature-reserve and scenic-area designations in three coastal provinces; instructs synchronised progress on ecological conservation, green development and “people's well-being” with local-condition adaptation. The kind of land-use rationalisation document that rarely makes Western coverage but anchors a lot of downstream provincial implementation.

Quality CN journalism

CAIXIN 财新 - IN DEPTH · 12 JUN 2026

Beijing rewrites the rules for Chinese capital going global

- **Outbound Investment Regulations:** First comprehensive State Council framework on outbound investment, effective July 2025; tightens oversight of Chinese capital flowing globally to “protect national security and prevent technology loss” — the regulation that anchors the NYT Li Yuan “capital wall” piece in Part III basket 1.
 - **Individual investors explicitly covered:** For the first time, the regulations bring individual residents (not just corporate vehicles) into scope — which is what triggered Hu Xijin’s Weibo defense.
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CAIXIN 财新 · 15 JUN 2026

Bank of China executive probed over 68 billion bad-loan scandal

- **State-bank anti-graft escalation:** Senior Bank of China executive under investigation tied to a 68-billion-yuan bad-loan exposure; consistent with the wider 2026 wave of state-sector personnel probes that fold into “Xi Jinping Thought on Party Building.”
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CAIXIN 财新 - IN DEPTH · 12 JUN 2026

Inside Indonesia's surprise pivot to resource nationalism

- **Resource-nationalism deep dive:** Caixin In Depth on Jakarta’s tightening of nickel exports and downstream-processing requirements — relevant to Bloomberg’s W25 “China slams Indonesia over nickel curbs” entry in Part III basket 3b.
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CAIXIN WEEKLY 财新周刊 - COVER STORY · 15 JUN 2026

When Employees Leave, Their AI Clones Carry on Working

- **Long-form AI-labour investigation:** Companies clone employees’ voices, decision-making styles and work processes — often without consent — to create “digital employees” that continue working after the person leaves; former video editor Li Yao discovered her voice in company ads after resigning.
 - **Worker counter-tools:** Open-source tools “wash” knowledge documents, replacing valuable insights with “correct but useless nonsense” while preserving genuine expertise — the kind of original Chinese reporting on the AI-labour interface that doesn’t surface in Western coverage.
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CAIXIN WEEKLY 财新周刊 - IN DEPTH · 15 JUN 2026

China's Humanoid Robot Boom Sparks Fears of Bruising Price Wars

- **MIIT+SASAC mandate:** Industrial-policy push to put 10,000 humanoid robots into productive use by 2026; Caixin interviewed a dozen industry insiders including Yao Maoqing (China Robot Industry Alliance).
 - **EV parallel risk:** Industry insiders warn the sector is sliding toward the same self-destructive price competition that hit Chinese EVs — “semi-humanoid” entertainment uses dominate orders today, not the productive applications the mandate envisages.
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Wang Tie investigated again nearly eight years after demotion from vice-provincial to vice-section-level

- **Re-investigation of a "断崖" demoted official:** Henan Provincial Supervision Commission re-opens the case on Wang Tie, the former vice-chair of Henan Provincial People's Congress whose Party membership was revoked and rank cut from vice-provincial (副部级) to vice-section-level (副处级) seven years ago — using his reduced rank rather than the former vice-provincial title.
- **Anchors the Symposium:** Story lands the same week as the National Party Building Work Symposium that anchors "Xi Jinping Thought on Party Building" — see Government positions below.

Government positions & readouts

White Paper – More Just and Equitable Global Governance: China's Principles, Proposals and Actions

- **Doctrinal pillar:** Beijing's first comprehensive white paper articulating the Global Governance Initiative (GGI) – sovereign equality, international rule of law, multilateralism, "people-centered approach", real actions.
 - **Anti-jungle framing:** Document calls the current order "law of the jungle" and demands "more Global South voices be heard" – explicit pitch to G77+ to back China-shaped reform.
 - **Companion press conference:** Launched at [SCIO briefing](#) by Wang Yi (see next entry).
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Global Governance Initiative translated from Chinese proposal into international practice

- **Concrete action framing:** Foreign Minister's launch speech at the SCIO press conference; pivot from GGI as "proposal" to "international practice."
 - **Operational tracks named:** AI governance, the new International Organization for Mediation, Asia-Pacific cooperation (China hosts APEC 2026), inaugural Xiong'an Global Governance Forum later this year.
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Visits Oman on Middle East Issue

- **Mediator framing:** Beijing positions itself as honest broker on US-Iran talks; visit follows Wang Yi's earlier call with Pakistan FM Ishaq Dar on the same file.
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Liu Haixing meets Nepal Foreign Minister Shishir

- **Party-to-party diplomacy:** Liu Haixing, head of the CCP International Department, met Nepal's foreign minister in Beijing to deepen inter-party dialogue and "implement leadership consensus" — channel-specific (党际) readout that supplements the MFA track.
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Japan Is Becoming a Powder Keg for Asia-Pacific

- **Sharpest Japan framing of the week:** Defense Ministry spokesperson uses “powder keg” language against Japanese defense posture and missile-deployment plans — consistent escalation since Tokyo’s intelligence website launch (cf. Part III basket 4).
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全国党建工作座谈会发言摘编 / Excerpts from speeches at the National Party Building Work Symposium

- **Doctrinal anchor:** Official Xinhua compilation of speeches at the National Party Building Work Symposium chaired by Cai Qi — the source documents for the new “Xi Jinping Thought on Party Building” doctrine (cf. SCMP entry in Part III basket 2).
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China's May economy remained broadly stable and continued improving in quality and structure

- **Official line on May data:** NBS frames industrial output +4.5%, services growth and high-tech investment as “stable and improving,” omits the headline retail-sales -0.6% contraction stressed by Western coverage.
 - **Tone over data:** Contrasts with FT/Caixin reporting on the first retail decline since Dec 2022 (Part III basket 1) — the gap between NBS framing and market reception is itself the story.
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China–Latin America cooperation enters a new phase of upgrading

- **Diversification messaging:** Commerce Ministry article promoting deeper LatAm engagement as US-EU friction intensifies; companion to the Global Governance white paper’s Global South posture.
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Heilongjiang Provincial Discipline Inspection Commission Secretary submits annual work report

- **Provincial reporting cycle:** Routine annual provincial-CCDI report to the central body; signals continuation of the high-pressure discipline regime ahead of the 2027 Congress.

Chinese thinking

SUN JISHENG 孙吉胜 (CHINA FOREIGN AFFAIRS UNIVERSITY) ON AISIXIANG · 17 JUN 2026

全球治理挑战与落实全球治理倡议的主要路径 / Global Governance Challenges and Main Pathways for Implementing the Global Governance Initiative

- **Academic GGI blueprint:** Published the same day as the Wang Yi white paper; maps the discourse / institutions / action / knowledge tracks China intends to use to operationalise the Global Governance Initiative.
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WANG JIAN 王健 (CHIEF FINANCIAL-SECTOR ANALYST, GUOSEN SECURITIES) · 12 JUN 2026

Commentary: China's economy has plenty of cash but it's trapped in a financial loop

- **Liquidity-not-demand diagnosis:** Despite abundant liquidity flowing into China's real economy, much of the capital is becoming trapped in financial investments rather than productive activities, creating a stagnant economic loop amid weak consumer and corporate demand — establishment-finance reading aligned with Huang Yiping's call for structural demand support.
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HUANG YIPING 黄益平 (DEAN, PKU NSD) · 2026-06

强供给、弱需求宏观格局下的政策思路 / Policy approaches under the 'strong supply, weak demand' macro pattern

- **Establishment-economist demand argument:** PKU National School of Development dean argues domestic-demand weakness can no longer be deferred to supply-side fixes; calls for structural consumption support. Published on the China Finance 40 Forum (CF40); English translation circulated via Fred Gao Substack "China's demand problem can no longer wait."
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WANG CHAO 王超 (FORMER VICE-FM; SCO SECRETARY-GENERAL 2019-2022) ON AISIXIANG ·

16 JUN 2026

上合组织成立25周年：巨轮扬帆 行稳致远 / The 25th Anniversary of the SCO: A Great Ship Sets Sail, Steady and Far-Reaching

- **SCO 25th-anniversary doctrinal essay:** Former Vice-FM Wang Chao casts the SCO as the "new type of regional multilateral cooperation" alternative to "bloc-based, exclusionary" Western models — anchored on the "Shanghai Spirit" of mutual trust, equality, consultation. 27 participating countries, cooperation across 50+ fields, ≈25% of global GDP; framed as a vehicle for China to "inject Chinese wisdom and strength" into global governance.

CN coverage of EU/GER

GLOBAL TIMES · 17 JUN 2026

Europe needs to end its China illusion before it's too late

- **Sharpest EU framing:** GT op-ed bracketing the week's EU Council debate from the Chinese state-media angle.
 - **Companion GT Voice piece (Jun 16):** EU isn't 'losing' in mutually beneficial trade with China.
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CHINA DAILY · 18 JUN 2026

EU's tariff walls risk eroding its industrial foundation

- **EU industrial-policy critique:** Frames EU trade-defence escalation as self-harm; companion piece Europe prepared to remove sanctions (Jun 16).
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CGTN · 16 JUN 2026

China dismisses EU claims of military training for Russian troops

- **Direct rebuttal to Kallas:** PRC counter to Kaja Kallas accusations re Russian-troop training (cf. Part III basket 5).
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CGTN · 18 JUN 2026

China urges G7 to stop undermining global trade order

- **G7 Évian counter:** PRC Foreign Ministry criticises the G7 for using “small circle” rules to reduce dependence on Chinese rare earths and critical minerals; asserts all parties share responsibility for global supply-chain stability — companion to the Wang Yi white paper / GGI launch (Part IV Government positions).
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PEOPLE'S DAILY (WORLD) · 15 JUN 2026

EU economy lacks endogenous growth momentum

- **EU-decline framing:** Renmin Ribao Weltbild; companion China-EU relations seminar held in Brussels (Jun 14).
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XINHUA · 15 JUN 2026

EU official says Europe not security risk after U.S. AI access cut

- **Anthropic Mythos echo:** Chinese framing of the EU dimension to the US AI-export-control ripple (cf. FT entry in Part III basket 3a).
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Shenzhen and Europe move closer thanks to Brussels hub

- **Sub-national engagement:** Shenzhen-Brussels framing as a back-channel for EU-CN business engagement around political friction.